BRUN - Boost Run

Full investment research | Model assumptions and source evidence

Framework 8.0 · Research update: 7 October 2026 · Latest operating actuals: Q2 2026

Status: Complete operating research retained. October 7 review incorporates the Cohere agreement as evidence within the existing deployment cohorts; the September 29 compensation bridge and all active model numbers remain unchanged.

Classification: CAPACITY ENABLER - contracted GPU cloud with financing and deployment constraints

Portfolio Base: 68/100 - user-selected. Analytical recommendation: **70/100 (42/60)**, advisory only.

Active Q4 2027 operating price target: USD 54.77 per share. Financial amounts: USD millions unless stated otherwise. Price targets: USD per share.

The operating case remains conditional on financing and deployment. The new compensation ledger uses a 100% continued-service, no-forfeiture baseline for the known grants, with no additional probability haircut to the price target. Portfolio Base 68 and analytical score 70 remain distinct and unchanged. At the same Q4 2027 maturity, the prior price target was $59.326209; the revised price target is $54.772847.

October 7 review: Cohere contract and accepted billing

The September 30 Cohere agreement, announced October 6, is a real commercial milestone: approximately five years and $525.6M of total contract value. Boost Run says aggregate company TCV now exceeds $2.6B. Neither amount is current revenue or a funded hardware budget. The release anticipates early Q2 2027 service; the signed agreement makes July 15, 2027 the outside acceptance date. The historical $1.9B TCV basis in the operating model below is retained as a calibration vintage, with new wins assessed against the already modeled future cohorts. [BRUN-13,14,15]

What actually starts the cash and revenue stream

Section 10.1 specifies NVIDIA GB300 NVL72 infrastructure, with NVIDIA/NVIS validation, collective-communication tests and LLM performance checks. Rack and GPU quantities are redacted. Each rack starts monthly committed billing only when accepted or deemed accepted. Testing has a seven-business-day window, followed by defined remediation rights; qualifying production use or a missed rejection deadline can create deemed acceptance. Committed fees then apply regardless of actual usage. A delayed rack receives its full contractual term after acceptance; dividing TCV by five does not establish 2027 recognized sales.

The agreement permits fee assignment and financing against equipment, facilities and working capital. These rights can help obtain funding; they are not evidence of an executed financing commitment. Hardware title remains with Boost Run or its relevant supplier, lessor or financing party. The public filing does not disclose the funded capex, interest rate, GPU count or prepayment amount. If the redacted minimum acceptance requirement fails by the outside date, the customer may terminate the whole contract with prepaid amounts refunded. If the minimum is met, unaccepted racks can be removed with a proportional refund. The public 8-K describes a parent guarantee for unused prepayments; the complete guarantee detail remains a gap.

Probability, overlap and company cost bridge

The selected probability is **75% that contracted billing begins during 2027**. This is an analyst timing judgment, not management guidance. The bounded conditional annualized billing outcome is **$0-105.12M**, with $105.12M selected for full acceptance: $525.6M divided by five. The 75%-weighted full-rate diagnostic is $78.84M ARR. It is neither 2027 revenue guidance nor an additive forecast.

The existing model already assumes $4.5B of future hardware, $6.3B associated TCV and successive **$175M new-ARR cohorts**. Full Cohere ARR is 60.07% of one such cohort. We assign **100% overlap with one existing cohort**, rather than adding a second customer-revenue pool or changing the whole cohort's probability. This contract partially supports the commercial realization embedded in that earlier growth assumption. It does not prove that every other cohort is signed or financed.

The retained normalized cost bridge uses direct cost 5.51%, mature colocation 15%, D&A 53.57% and variable SG&A 3% of revenue, plus the existing fixed operating costs. Applied diagnostically to full $105.12M ARR, those rounded rates imply approximately $27.25M service GP and $24.09M OP before allocating existing fixed costs; 75% weighting gives approximately $18.07M OP before the overlap adjustment. After the **100% overlap deduction**, additional revenue, COGS, opex and OP are all **zero**. These figures illustrate the existing cohort's economics, not measured Cohere margins.

This contract runs approximately five years, while the retained cohort cost proxy was calibrated to three-year TCV and four-year GPU life. Replacing that proxy requires the actual hardware cost, financing and replacement/renewal obligations. Simply changing three to five in the D&A formula would manufacture a cost change without those inputs. The new filing therefore adds contract specificity and acceptance/funding risks, with **no numerical operating or share-count change**. The Q4 2027 ceiling stays **$54.772847092**, at the sanctioned **15× F4Q OP**, protected Excel Base **68** and analytical Base **70**.

The next tests are hardware procurement and funding, acceptance notices, any disclosed prepayment protections, actual billed racks and the July 15 outside date. A missed or resized delivery would change timing within the existing cohort; it would not erase an independently added contract because none was added.

1. Thesis, products and competitive position

CAPACITY ENABLER. Boost Run delivers validated GPU infrastructure and supporting software to compute customers. NVIDIA qualification supports handoff reliability but does not establish an exclusive supplier position. Customer contracts, energized power, installed hardware, funding and accepted billing are separate prerequisites.

Contracted capacity must become an operating service

Boost Run provides GPU infrastructure and associated enterprise/sovereign deployment services. The original research identifies hardware procurement, colocation, power, networking, deployment and software operations as the links between a signed customer agreement and a usable cluster. Its role is downstream demand for the portfolio's chips, memory and optical components.

The historical Dell hardware arrangement and customer backlog are useful commercial context. They are not the same as cash revenue, completed installation or a unique technology moat. Total contract value spans delivery periods and conditions; exit ARR is a run-rate measure. Revenue must follow accepted, available service capacity and the relevant contract terms rather than simply dividing a headline backlog into calendar quarters.

Capital intensity and operating profit

Direct costs alone omit a substantial part of GPU service economics. Colocation, depreciation, support and corporate costs determine the profit available after deploying expensive hardware. The recast service gross profit below includes colocation and D&A, then deducts the remaining operating expenses. Net-income volatility is not a substitute for recurring operating profit.

Compared with a component supplier, the cloud operator bears funding, deployment, customer utilization and hardware obsolescence risk across the installed asset base. Enterprise or sovereign relationships may support retention, but they do not remove concentration or contract-enforcement risk. Backlog growth requires a corresponding procurement, power and financing bridge before it can validate the forecast.

Research provenance: the product and competitive analysis in this section synthesizes the supplied original research. Dated market-share, process and channel claims retain their original evidence status; this integration is not a new independent verification of those claims. Current earnings and model assumptions are set out below.

2. Earnings, guidance and operating assumptions

Latest actuals and management comparison

Q2 revenue was $31.138M and OP was -$12.904M. Direct cost was $1.717M, colocation $10.555M, D&A $18.145M and SG&A $13.625M. Net loss $75.047M additionally includes financing and tax items and must not substitute for OP. Source: BRUN-2.

The August call is the first public quarterly earnings call, so June’s investor update serves as the preceding management record. August disclosures cite $1.9B TCV and about $400M year-end ARR. ARR is a point-in-time annualized rate, not current-year sales. Sources: BRUN-1,3,4. The filing establishes Q1 revenue $10.956M; the transcript’s approximate sequential-growth wording is not used to override that actual.

Revenue and TAM build

H2 revenue is modeled by linearly increasing ARR from $145M at June to $400M at December, then dividing average quarterly ARR by four. This yields approximately $52.19M and $84.06M for Q3 and Q4. Those are analytical timing estimates, not quarterly guidance.

The retained August-vintage current-fleet calibration uses $1.9B / three years. The model assumes 12% of total revenue comes from on-demand work, making full current-fleet ARR about $719.70M. Q1 2027 averages the year-end rate and full activation; subsequent quarters use the full rate. Exact signed-contract commencement and expiry schedules remain unavailable.

A separate conditional growth case deploys the midpoint $4.5B hardware opportunity evenly over 2027-29: $375M per quarter. At 1.4x lifetime contract value/hardware cost and three-year duration, each cohort adds $175M annualized revenue. In-quarter deployment earns half a quarter, with no additional on-demand markup. The underlying commercial opportunity is management commentary, not a financed, signed revenue backlog. Each future cohort must independently secure customers, hardware, power and funding.

Current-fleet revenue is repriced 10% lower in 2029 and 20% lower in 2030; the 2027 new cohort reprices 10% lower in 2030. These are explicit GPU-aging economics, not probability multipliers. Replacement spending and renewal prices remain unresolved. The AI infrastructure TAM cannot be credited as Boost Run sales without this delivery chain.

Service gross profit and operating expenses

The filing's stated GP excludes colocation and D&A. This review recasts both costs into service GP so the two revenue vectors can be compared on an economic operating basis. Q2 recast service GP is $0.721M and, after $13.625M SG&A, reproduces -$12.904M OP. Recast GP is an analytical presentation, not the issuer's reported GP label.

Forward direct cost uses Q2's 5.51% of revenue. Colocation falls from 24% in Q3 and 20% in Q4 to 15% by late 2027 as assumed deployment fills reserved space. GPU D&A remains an operating cost: three-year contract duration /1.4x TCV-to-cost /four-year useful life =53.57% of revenue. This is a normalized capital-intensity proxy, not a complete GAAP asset roll-forward. Software amortization and refresh economics may change it.

Recurring SG&A still begins at $6.605M per quarter: Q2 SG&A of $13.625M less the specifically identified $7.020M consultant award. The fixed component grows 15% annually and the model adds 3% of revenue for ongoing hiring and administration. The retained anchor includes $0.050M of legacy profit-interest SBC; neither that amount nor the generic scaling allowance is removed. The Q2 consultant award was fully vested and expensed, with no remaining unrecognized cost. The September grants are separately identified new economic costs. The model assumes zero overlap with the generic staffing allowance because no specific reserve for these grants was identified. This is a model allocation judgment, not a new issuer disclosure. Management's 15-20% net cash flow margin remains separate from operating margin.

September 29 executive compensation: contracts and active treatment

The October 5 Form 8-K reports 4.590M time-based RSUs at a $16.65 grant-date stock price: CFO Erik Guckel 2.890M/$48.1185M, COO Harilaos Georgakopoulos 0.300M/$4.9950M and CTO Daniel Gormley-Rahn 1.400M/$23.3100M. The combined disclosed approximate grant-date value is $76.4235M. These are service-conditioned awards, not target-versus-maximum performance awards. The separate COO cash retention award totals $1M. [BRUN-8-12]

Officer	Gross RSUs M	Grant-date value $M	Contractual vesting
CFO	2.890	48.1185	1.156M on May 15, 2027; 0.216750M on each of eight dates: Sep 15/Dec 15, 2027; Mar 15/Jun 15/Sep 15/Dec 15, 2028; Mar 15/Jun 15, 2029.
COO	0.300	4.9950	0.100M on Sep 29 in 2027, 2028 and 2029.
CTO	1.400	23.3100	Nine substantially equal installments on May 15/Sep 15/Dec 15, 2027; Mar 15/Jun 15/Sep 15/Dec 15, 2028; Mar 15/Jun 15, 2029. Each is 1.4M/9; actual whole-share rounding is unspecified.

All three RSU contracts explicitly set both grant date and vesting start date to September 29, 2026. Service runs from that date to each vest date; May 15 is the first CFO/CTO vest, not service inception. The CFO award recognizes earlier SPAC leadership, but the contract gives no immediately vested prior-service tranche. The contracts allow continuing service as an employee, director or consultant. The S-8 condition is contractual; the 8-K reports the registration statement was already filed July 20, 2026. [BRUN-8-11]

Ledger item	Reference already modeled	Conditional and active treatment	Overlap / counter-test
New RSU service fulfillment; Sep 29 grant / Oct 5 filing	No explicit new-grant cost or vesting share schedule; generic 15% fixed-cost growth and 3% sales overhead retained	100% continued-service/no-forfeiture baseline. Allocate each tranche's grant-date value evenly by actual days from Sep 29, 2026 to its vest date. Total equity economic cost $76.4235M.	0% identified overlap with generic staffing/admin. Forfeiture, qualifying termination, acceleration and reported accounting attribution can change timing or amount.
COO cash retention	No explicit new cash-award schedule	100% baseline; accrue each of $0.5M/$0.3M/$0.2M from Sep 29 to its Oct 15, 2026/Jan 15, 2027/Apr 15, 2027 due date. Total $1M.	Cash payments differ from expense accrual. Executive-level service and satisfactory performance are required; repayment/forfeiture clauses apply.
Gross economic shares	83.845141M existing economic shares	Add cumulative gross vested awards at the target quarter END; disclose the remaining unvested balance separately.	No plan-reserve addition or tax-withholding/settlement-lag reduction. This is an economic proxy, not reported diluted EPS. Future financing dilution remains open.

The cost proxy is **not a claim about the issuer's actual GAAP/ASC 718 attribution policy**. Each tranche uses calendar-day intervals [September 29, 2026, contractual vest/payment date), with total days equal to date subtraction. Quarter cost equals tranche value × overlap days ÷ total service days. This convention accrues two days in Q3 2026 and recognizes each full tranche by its vest/payment date. It does not expense the grant only when shares vest, nor deduct the full grant value immediately. No current market stock price remeasurement is used.

The disclosed historical plan reserve is 9.214301M shares, approximately 15% of common shares at the business combination. These 4.590M grants are inside that reserve. Subtracting them leaves 4.624301M only as arithmetic before other grants or recycling; current remaining plan capacity is not reconciled. The reserve is not issued stock and is not added to the valuation denominator.

Ordinary forfeiture and acceleration remain sensitivities to the active 100% baseline. All three contracts provide full vesting on death/disability or qualifying termination within 12 months after a change of control. Outside that window, the CFO receives the greater of 50% of unvested awards or a service-based pro-rata portion on a qualifying termination; COO/CTO receive the pro-rata portion. Cash resignation repayment applies before 24 months after the actual first payment. Cash §5.2 Cause repayment has no stated 24 month cap, unlike the abbreviated 8-K wording. Award contracts control. The model does not assign probabilities to these exceptional events. [BRUN-9-12]

Funding, physical capacity and shares

The $4.5B hardware scenario implies $6.3B lifetime contract value. Applying management’s 22% average downpayment would fund $1.386B, leaving approximately $3.114B to be financed before considering operating cash, timing, lease structure and other uses. This is a required-financing diagnostic, not a funding commitment. Accessible 253MW and the scalable 10X site cannot all be treated as installed, billing IT capacity. Sources: BRUN-1,3,6.

The latest issuer share statement gives 54.312123M Class A plus 29.533018M Class B, or 83.845141M economically equivalent shares. August warrant redemption is complete. The June earnout and consultant shares were already issued; they are not added again. Sources: BRUN-2,5. The updated denominator adds the new executive awards only as they contractually vest by each target quarter-end. At Q4 2027, 2.156167M are vested in the model, giving 86.001308M economic shares,

while 2.433833M remain unvested. All 4.590M vest by September 29, 2029 under continued service. Actual delivery can lag and share withholding may differ; sell-to-cover can transfer issued shares rather than cancel them. This proxy does not include future equity funding. The large financing requirement therefore remains a material open condition.

3. Analytical score

The category arithmetic gives **42/60 = 70/100** after the existing -5-point risk deduction. The portfolio Base remains **68/100**. Risk-class detail appears in section 7.

Category	Points	Max	Basis
Core thesis	14	20	Verified GPU-cloud execution and NVIDIA qualification; no exclusive hardware or power moat.
Cycle stage	7	10	First public earnings and rapidly expanding contracted deployment.
TAM expansion	9	10	Demand extends across frontier labs, enterprises and financial institutions.
Catalysts	4	5	2026 exit ARR, Q1 contracted activation and new sites.
Macro	9	10	AI compute spending supports demand.
Alpha	4	5	Latest filed costs, procurement terms and completed warrant redemption improve the model.
Risks	-5	0	Financing; customer/contract concentration; delivery/power; hardware repricing; governance and reporting execution.

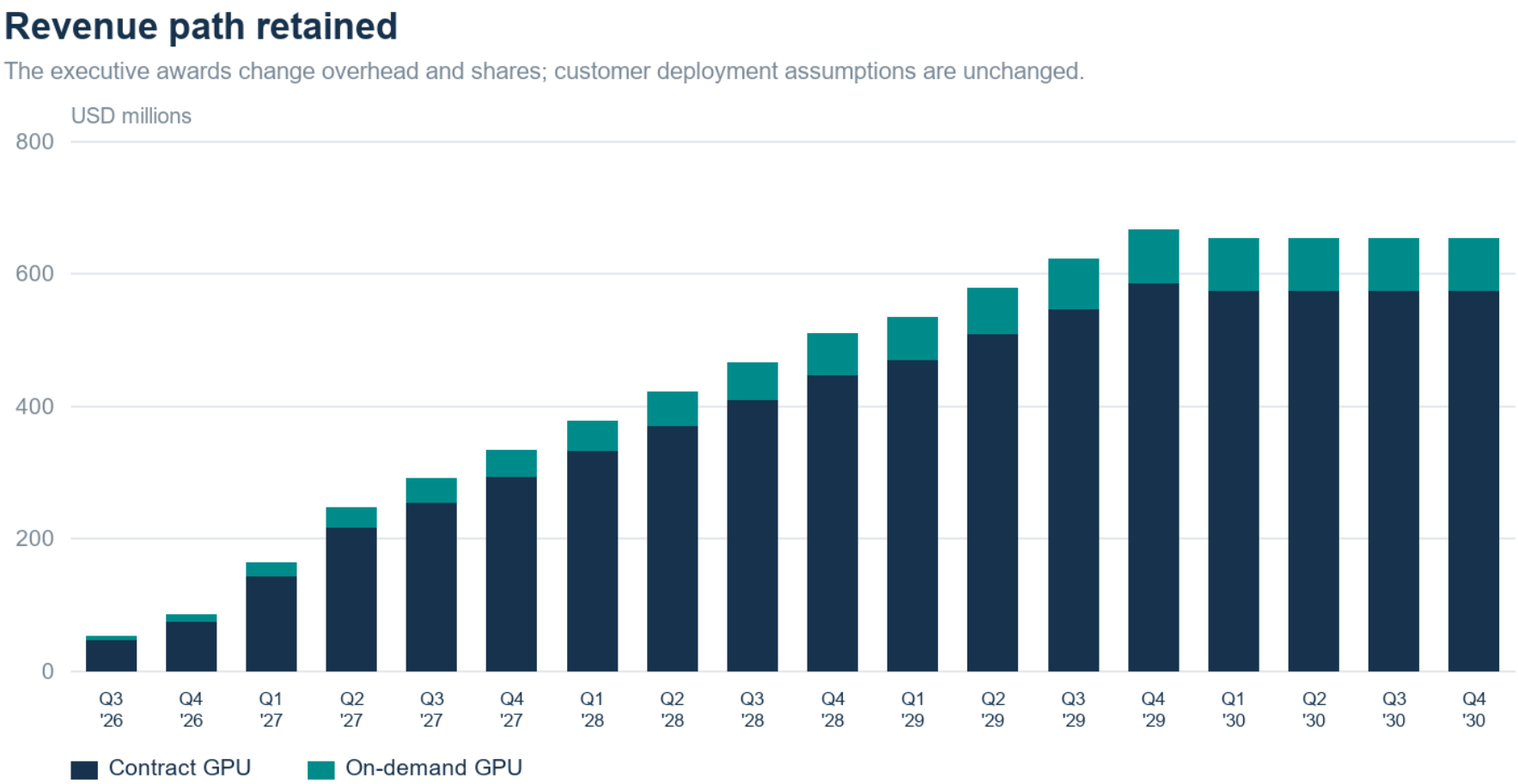
4. Product economics and quarterly operating model

Forecasts distinguish reported anchors from guidance and analyst assumptions. Where the model uses segment OP or an adjusted profit proxy rather than product GP less opex, the stated basis applies; do not treat those proxies as a newly disclosed GAAP decomposition.

Vector evidence

Vector	Source / derivation	Confidence
Contract GPU	TCV $1.9B / three-year average term; Q1 activation and conditional future hardware cohorts	HIGH disclosed TCV; LOW recognition schedule
On-demand GPU	12% model mix based on management stating more than 12% of revenue; equal cost ratios until better disclosure	LOW forward mix; no speculative premium

Product revenue build



Unchanged quarterly contract and on-demand revenue model

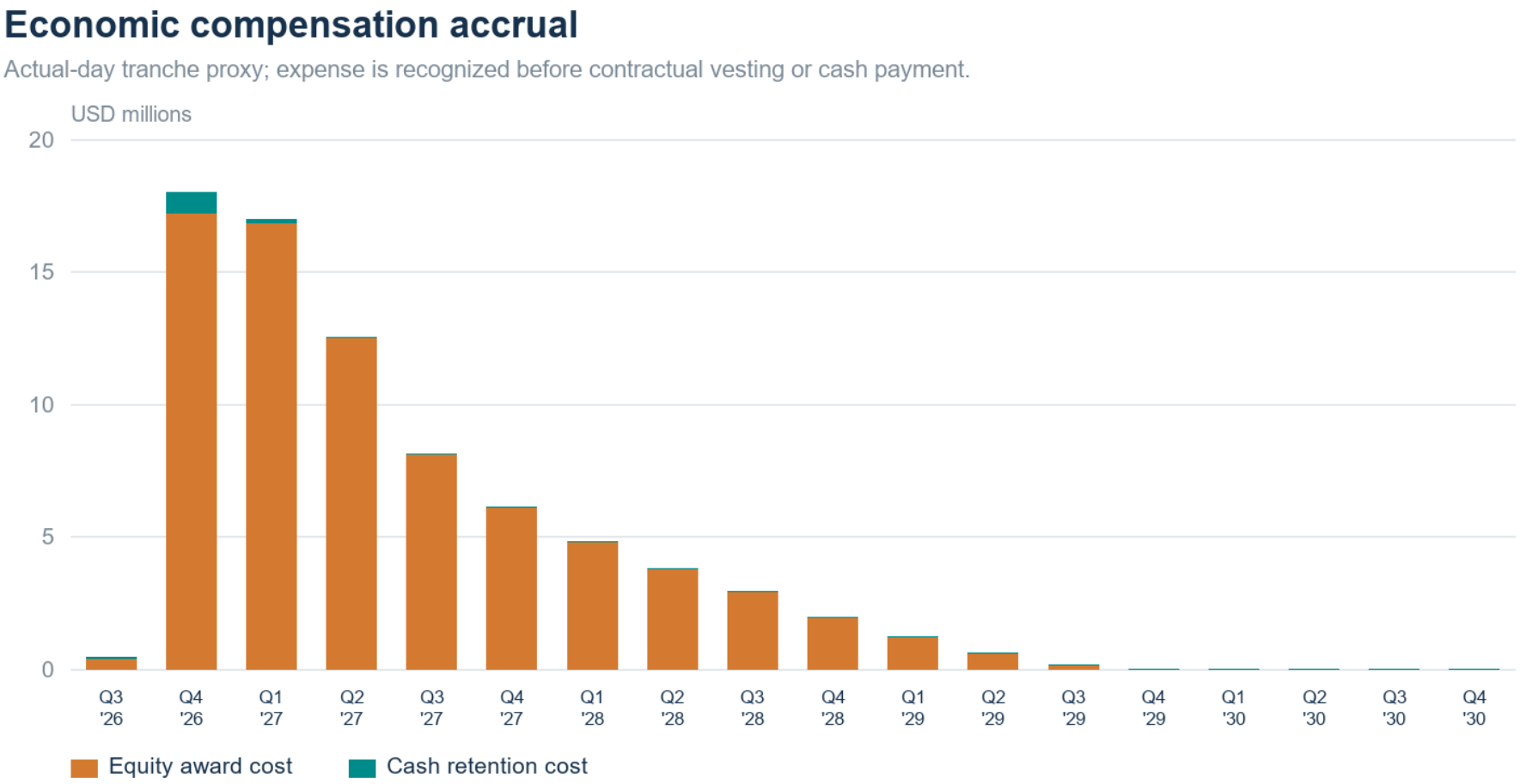
Quarter	Contract GPU	On-demand GPU	Total
Q3 2026	45.92	6.26	52.19
Q4 2026	73.97	10.09	84.06
Q1 2027	142.42	19.42	161.84

Quarter	Contract GPU	On-demand GPU	Total
Q2 2027	216.08	29.47	245.55
Q3 2027	254.58	34.72	289.30
Q4 2027	293.08	39.97	333.05
Q1 2028	331.58	45.22	376.80
Q2 2028	370.08	50.47	420.55
Q3 2028	408.58	55.72	464.30
Q4 2028	447.08	60.97	508.05
Q1 2029	469.75	64.06	533.81
Q2 2029	508.25	69.31	577.56
Q3 2029	546.75	74.56	621.31
Q4 2029	585.25	79.81	665.06
Q1 2030	573.27	78.17	651.44
Q2 2030	573.27	78.17	651.44
Q3 2030	573.27	78.17	651.44
Q4 2030	573.27	78.17	651.44

Product recast service gross margins, including colocation and D&A

Quarter	Contract GPU	On-demand GPU
Q3 2026	16.9%	16.9%
Q4 2026	20.9%	20.9%
Q1 2027	22.9%	22.9%
Q2 2027	23.9%	23.9%
Q3 2027	24.9%	24.9%
Q4 2027	25.9%	25.9%
Q1 2028	25.9%	25.9%
Q2 2028	25.9%	25.9%
Q3 2028	25.9%	25.9%
Q4 2028	25.9%	25.9%
Q1 2029	25.9%	25.9%
Q2 2029	25.9%	25.9%
Q3 2029	25.9%	25.9%
Q4 2029	25.9%	25.9%
Q1 2030	25.9%	25.9%
Q2 2030	25.9%	25.9%
Q3 2030	25.9%	25.9%
Q4 2030	25.9%	25.9%

New award cost and cash-payment bridge



Quarterly equity and cash economic compensation expense

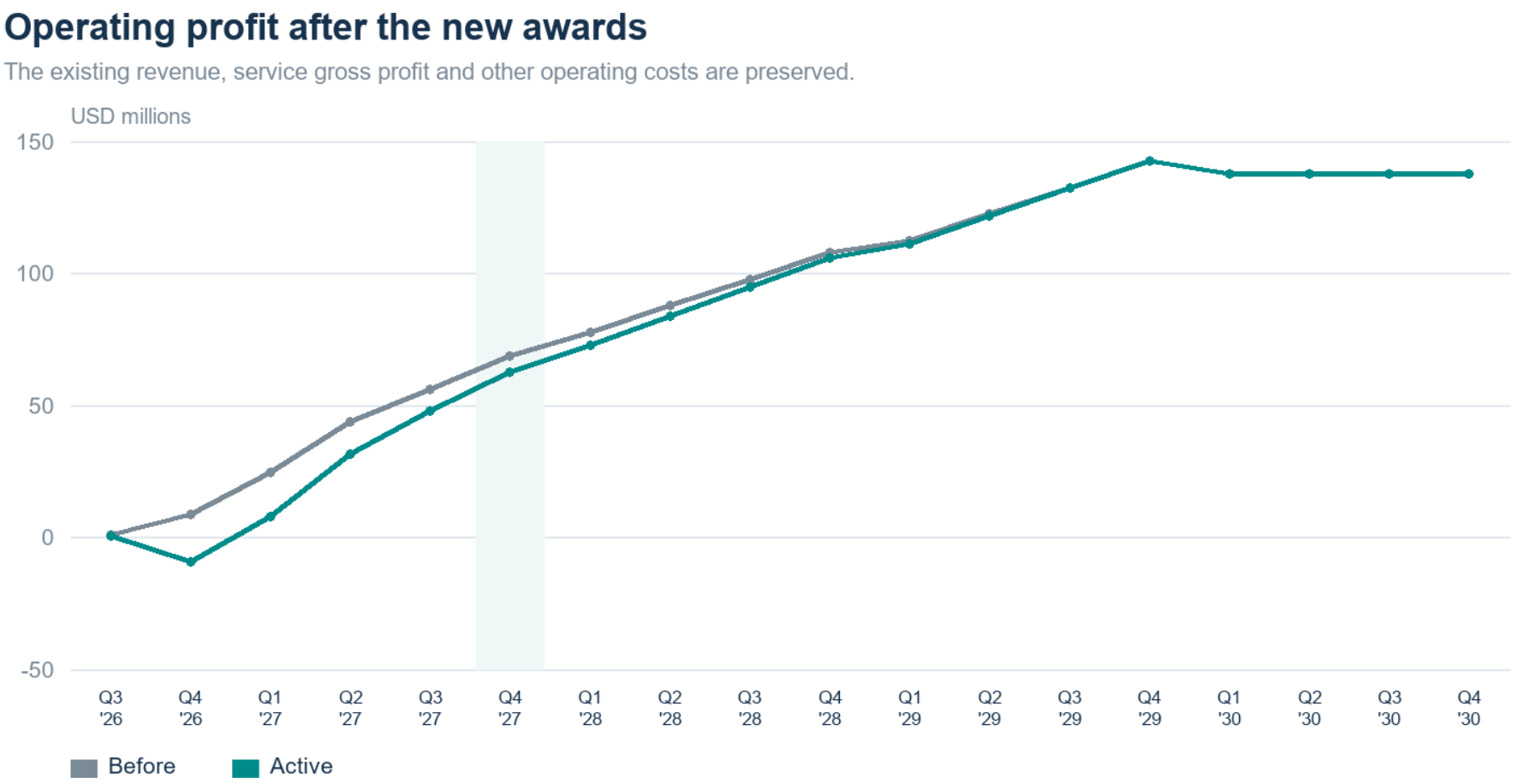
Amounts are USD millions. The cash due-date column is a payment schedule, not another expense.

Quarter	Existing opex	Equity cost	Cash accrual	Total opex	Cash payment
Q3 2026	8.170625	0.373704	0.070076	8.614405	0.000
Q4 2026	9.126875	17.190406	0.785985	27.103265	0.500

Quarter	Existing opex	Equity cost	Cash accrual	Total opex	Cash payment
Q1 2027	12.450864	16.816701	0.129798	29.397363	0.300
Q2 2027	14.962227	12.501984	0.014141	27.478353	0.200
Q3 2027	16.274727	8.087129	0.000000	24.361857	0.000
Q4 2027	17.587227	6.095954	0.000000	23.683181	0.000
Q1 2028	20.039090	4.791566	0.000000	24.830656	0.000
Q2 2028	21.351590	3.772241	0.000000	25.123830	0.000
Q3 2028	22.664090	2.918768	0.000000	25.582858	0.000
Q4 2028	23.976590	1.926288	0.000000	25.902878	0.000
Q1 2029	26.059584	1.204178	0.000000	27.263762	0.000
Q2 2029	27.372084	0.607856	0.000000	27.979940	0.000
Q3 2029	28.684584	0.136724	0.000000	28.821308	0.000
Q4 2029	29.997084	0.000000	0.000000	29.997084	0.000
Q1 2030	31.095368	0.000000	0.000000	31.095368	0.000
Q2 2030	31.095368	0.000000	0.000000	31.095368	0.000
Q3 2030	31.095368	0.000000	0.000000	31.095368	0.000
Q4 2030	31.095368	0.000000	0.000000	31.095368	0.000

Total new equity cost is $76.4235M and cash accrual is $1M over the model. The specified tranches are exhausted by September 2029; no unapproved future award replacement is invented. Ongoing staffing/admin assumptions remain in the original cost path.

Quarterly operating model



Operating profit before and after executive compensation

Quarter	Status	Revenue	Service GP	Gross margin	Opex	Operating profit	OP margin
Q3 2026	Model	52.188	8.827	16.91%	8.614	0.213	0.41%
Q4 2026	Model	84.062	17.581	20.91%	27.103	-9.522	-11.33%
Q1 2027	Model	161.837	37.084	22.91%	29.397	7.687	4.75%

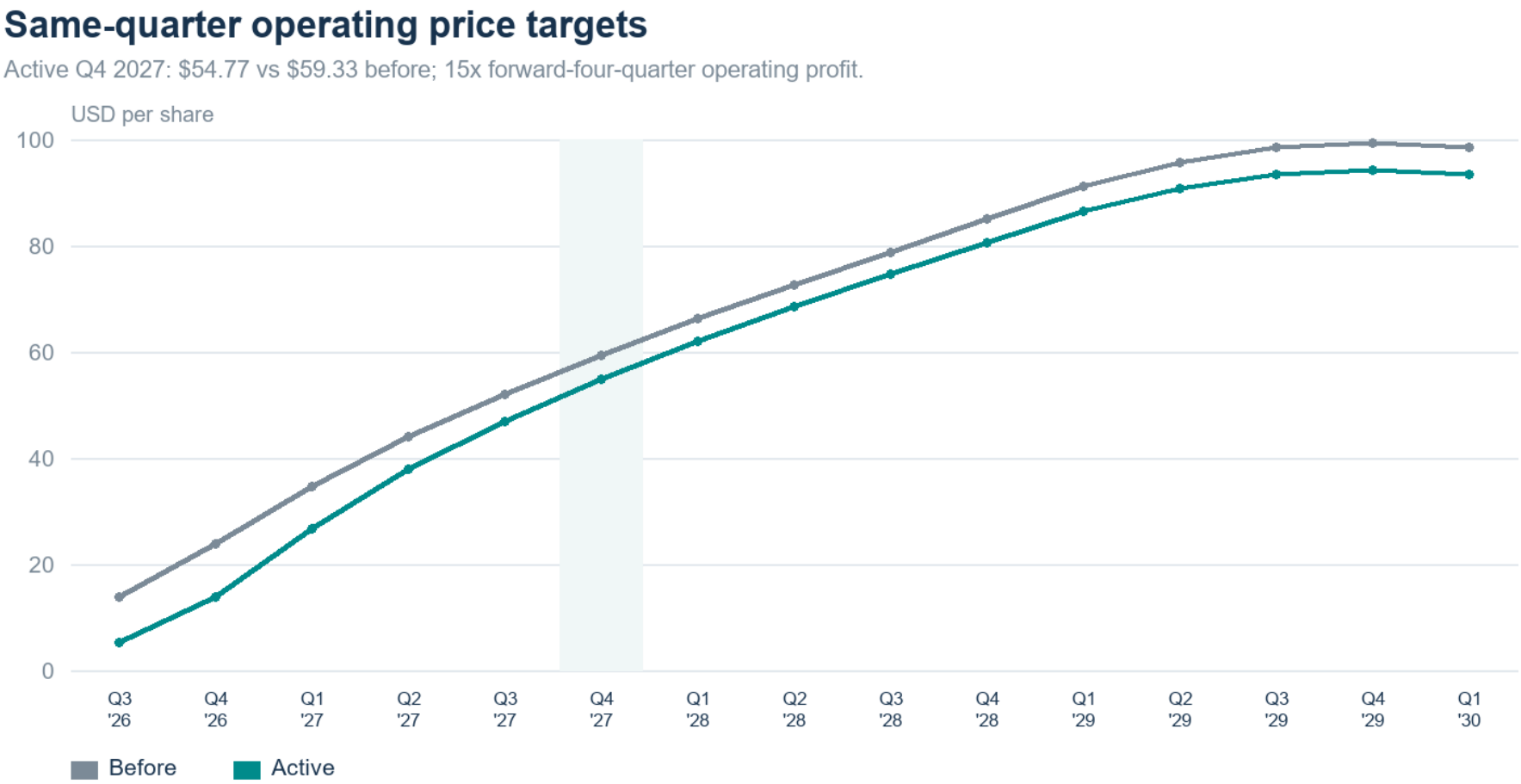
Quarter	Status	Revenue	Service GP	Gross margin	Opex	Operating profit	OP margin
Q2 2027	Model	245.549	58.722	23.91%	27.478	31.243	12.72%
Q3 2027	Model	289.299	72.077	24.91%	24.362	47.715	16.49%
Q4 2027	Model	333.049	86.308	25.91%	23.683	62.625	18.80%
Q1 2028	Model	376.799	97.645	25.91%	24.831	72.815	19.32%
Q2 2028	Model	420.549	108.983	25.91%	25.124	83.859	19.94%
Q3 2028	Model	464.299	120.320	25.91%	25.583	94.738	20.40%
Q4 2028	Model	508.049	131.658	25.91%	25.903	105.755	20.82%
Q1 2029	Model	533.807	138.333	25.91%	27.264	111.069	20.81%
Q2 2029	Model	577.557	149.670	25.91%	27.980	121.690	21.07%
Q3 2029	Model	621.307	161.008	25.91%	28.821	132.187	21.28%
Q4 2029	Model	665.057	172.346	25.91%	29.997	142.348	21.40%
Q1 2030	Model	651.439	168.817	25.91%	31.095	137.721	21.14%
Q2 2030	Model	651.439	168.817	25.91%	31.095	137.721	21.14%
Q3 2030	Model	651.439	168.817	25.91%	31.095	137.721	21.14%
Q4 2030	Model	651.439	168.817	25.91%	31.095	137.721	21.14%

Forecast confidence remains LOW for deployment and normalized economics. Q2 actuals are retained above. Q3/Q4 2026 and all future rows remain estimates; the negative Q4 2026 OP reflects the new service-cost proxy, not a reported result.

Annual model cross-check

Year / scope	Revenue	Service GP	Opex	Equity cost included	Cash cost included	OP	OP margin
2026 (H2 model only)	136.250	26.408	35.718	17.564110	0.856061	-9.309	-6.83%
2027 (full calendar-year model)	1029.735	254.191	104.921	43.501768	0.143939	149.270	14.50%
2028 (full calendar-year model)	1769.697	458.607	101.440	13.408863	0.000000	357.166	20.18%
2029 (full calendar-year model)	2397.727	621.357	114.062	1.948759	0.000000	507.295	21.16%
2030 (full calendar-year model)	2605.758	675.267	124.381	0.000000	0.000000	550.885	21.14%

5. Forward four-quarter operating price target



Full rolling operating price target path before and after the compensation update

Retain 15× current-plus-next-three-quarter operating profit. Divide by the target quarter-end economic-share proxy. No tax, cash, enterprise-value adjustment or second probability multiplier is introduced.

Price target quarter	Exact earnings window	F4Q OP $M	Multiple	Economic shares M	Active price target USD	Before USD
Q3 2026	Q3 2026 → Q2 2027	29.620664	15×	83.845141	5.299174	13.865465

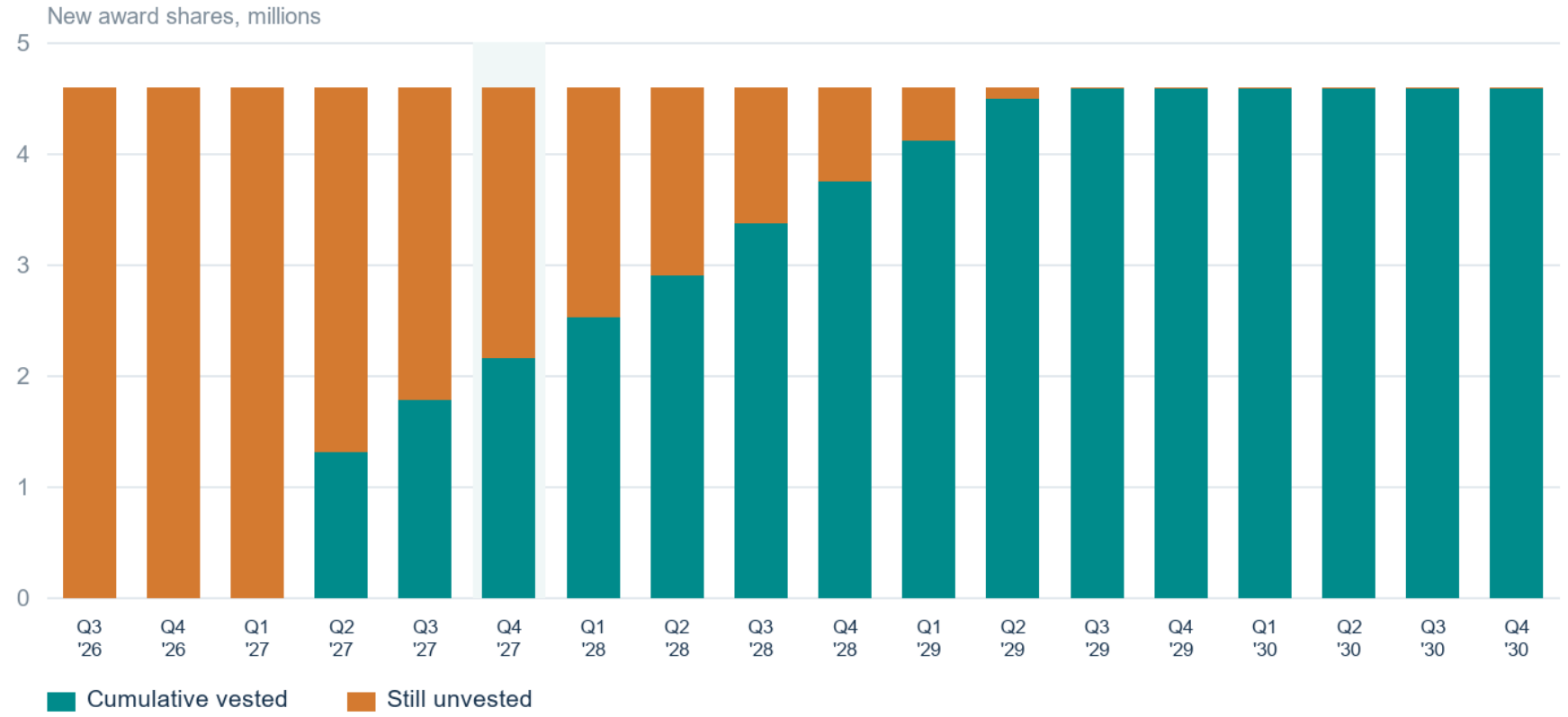
Price target quarter	Exact earnings window	F4Q OP $M	Multiple	Economic shares M	Active price target USD	Before USD
Q4 2026	Q4 2026 → Q3 2027	77.123201	15×	83.845141	13.797437	23.731133
Q1 2027	Q1 2027 → Q4 2027	149.269853	15×	83.845141	26.704562	34.512834
Q2 2027	Q2 2027 → Q1 2028	214.397836	15×	85.156697	37.765292	43.989778
Q3 2027	Q3 2027 → Q2 2028	267.013559	15×	85.629002	46.773912	51.838505
Q4 2027	Q4 2027 → Q3 2028	314.035765	15×	86.001308	54.772847	59.326209
Q1 2028	Q1 2028 → Q4 2028	357.166283	15×	86.373613	62.026978	66.296354
Q2 2028	Q2 2028 → Q1 2029	395.420761	15×	86.745919	68.375683	72.498340
Q3 2028	Q3 2028 → Q2 2029	433.252236	15×	87.218224	74.511762	78.700326
Q4 2028	Q4 2028 → Q3 2029	470.701371	15×	87.590530	80.608264	84.902311
Q1 2029	Q1 2029 → Q4 2029	507.294750	15×	87.962835	86.507230	91.104297
Q2 2029	Q2 2029 → Q1 2030	533.946930	15×	88.335141	90.668378	95.656976
Q3 2029	Q3 2029 → Q2 2030	549.977735	15×	88.435141	93.284931	98.416161
Q4 2029	Q4 2029 → Q3 2030	555.512354	15×	88.435141	94.223690	99.381851
Q1 2030	Q1 2030 → Q4 2030	550.885195	15×	88.435141	93.438851	98.554046

Q4 2027 worked example: (62.624561 + 72.814640 + 83.859019 + 94.737545) ×15 ÷86.001308 = **$54.772847**. The full-precision calculation uses F4Q OP $314.035764971M.

Same Q4 2027 maturity	Before	Active	Change
F4Q OP $M	331.614293	314.035765	-17.578528
Economic shares M	83.845141	86.001308	2.156167
Price target USD	59.326209	54.772847	-4.553362

Gross award vesting and remaining overhang

Only the vested portion enters the quarter-end economic denominator; the full reserve is not added.



Award shares vested into the quarter-end denominator and remaining unvested shares

Quarter	Newly vesting M	Cumulative vested M	Remaining unvested M	Total economic shares M
Q3 2026	0.000000	0.000000	4.590000	83.845141
Q4 2026	0.000000	0.000000	4.590000	83.845141
Q1 2027	0.000000	0.000000	4.590000	83.845141
Q2 2027	1.311556	1.311556	3.278444	85.156697

Quarter	Newly vesting M	Cumulative vested M	Remaining unvested M	Total economic shares M
Q3 2027	0.472306	1.783861	2.806139	85.629002
Q4 2027	0.372306	2.156167	2.433833	86.001308
Q1 2028	0.372306	2.528472	2.061528	86.373613
Q2 2028	0.372306	2.900778	1.689222	86.745919
Q3 2028	0.472306	3.373083	1.216917	87.218224
Q4 2028	0.372306	3.745389	0.844611	87.590530
Q1 2029	0.372306	4.117694	0.472306	87.962835
Q2 2029	0.372306	4.490000	0.100000	88.335141
Q3 2029	0.100000	4.590000	0.000000	88.435141
Q4 2029	0.000000	4.590000	0.000000	88.435141
Q1 2030	0.000000	4.590000	0.000000	88.435141
Q2 2030	0.000000	4.590000	0.000000	88.435141
Q3 2030	0.000000	4.590000	0.000000	88.435141
Q4 2030	0.000000	4.590000	0.000000	88.435141

Mechanical share sensitivity

Holding the active Q4 2027 operating case and 15 x method fixed:

Denominator	Q4 2027 price target USD
Active	54.772847
5% more shares	52.164616
10% more shares	49.793497

This isolates additional financing/share uncertainty; it is not a second operating forecast. The full award reserve is not a dilution sensitivity by itself. Service forfeiture would affect both outstanding awards and their related unrecognized cost, while acceleration can move costs and issuance earlier; changing only one side would be inconsistent.

6. Industry relationships and read-throughs

Compare deployment discipline with IREN and other GPU-cloud operators, while keeping their customer terms, balance sheets and share issuance separate. A Boost Run hardware purchase can be Dell revenue and demand for upstream suppliers, but it cannot be added again as Boost Run service revenue before recognition.

7. Risks and falsification tests

The following ledger makes the existing aggregate risk deduction explicit. It does not introduce another deduction or change the analytical score.

Risk class	Existing deduction
Financing and liquidity	-1
Customer concentration and contract enforceability	-1
Hardware delivery, power and deployment	-1
Hardware repricing and economic life	-1
Governance, reporting and execution	-1
Total	**-5**

Valuation, score and triggers

Price target uses current-plus-next-three-quarter OP×15 divided by the target quarter-end economic-share path. The executive award baseline assumes 100% continued service and zero forfeiture, with costs and shares tracked once. No additional probability multiplier is applied to the final price target. The analytical category score of 42/60=70% reflects the verified commercial ramp alongside financing, concentration, power/delivery, hardware repricing and governance/reporting risks.

The next useful tests are recognized revenue against exit ARR, signed contracts against procurement obligations, energized capacity against accepted GPU clusters, and gross service economics after depreciation. Apply this distinction to NBIS and other compute operators: deposits, TCV, cash margin and EBITDA cannot replace revenue and operating profit.

Numbered monitoring tests

#	Checkpoint	Evidence supporting the operating case	Counter-test / failure signal
1	Contract conversion	Reconcile backlog, accepted capacity, recognized revenue and collections.	Growing TCV without live service capacity does not validate quarterly revenue.
2	Operating costs	Reconcile colocation, D&A and overhead to service OP.	Positive direct margin or ARR growth with weak all-in OP fails the test.
3	Funding	Match committed procurement with available financing and customer cash terms.	Unfunded equipment commitments constrain the deployment schedule.
4	Hardware life	Track refresh cost, residual value and customer pricing on older GPUs.	Shorter economic life or repricing can reduce profit despite high utilization.
5	Executive compensation	Reconcile reported SBC, vesting, settlements, cash payments and remaining plan capacity to the tranche ledger.	Service changes, accelerated vesting, actual accounting attribution or new grants invalidate the assumed timing or quantum.

8. Sources, evidence gaps and model snapshot

Sources below are those documented in the supplied earnings review. LOW-confidence product allocations, future margins, capacity bridges and incomplete management-call records remain unresolved where stated. The October 6 compensation update does not independently certify the retained operating and funding assumptions.

- **BRUN-1** · 2026-08-14 · Q2 issuer earnings release. Q2 revenue, TCV, cash, accessible power, hardware opportunity and year-end ARR outlook.
- **BRUN-2** · 2026-08-18 · Q2 Form 10-Q. Exact financial costs, four-year GPU life, economic rights, issued earnouts and purchase commitments.
- **BRUN-3** · 2026-08-14 · First public management earnings call. Management speech on activation, term duration, downpayments and procurement opportunity.
- **BRUN-4** · 2026-06-02 · Prior company investor update. Prior management record; definitions of ARR and TCV/capex. No second public quarterly call exists.
- **BRUN-5** · 2026-08-26 · Issuer warrant redemption completion. Aug 25 shares 54,312,123 Class A and 29,533,018 Class B; no warrants remaining.
- **BRUN-6** · 2026-08-14 · Issuer 10X capacity lease announcement. Initial 20MW targeted Q4, scalable 111MW through 2027; avoid double-counting in 253MW pool.
- **BRUN-7** · 2026-09-01 · Supplied framework and model - User upload: BRUN_Q_Model. Sanctioned 15× OP multiple; no standalone artifact located in supplied package.
- **BRUN-8** · 2026-10-05 filing /2026-09-29 grants · Executive compensation Form 8-K. Award quantities, disclosed approximate grant-date values, plan nesting and separate cash award.

- **BRUN-9** · 2026-09-29 · CFO agreement, Exhibit 10.1. §1 grant/service start and vesting; §3 termination; §§4-5 settlement/tax.
- **BRUN-10** · 2026-09-29 · COO agreement, Exhibit 10.2. Annual vesting and service/termination terms.
- **BRUN-11** · 2026-09-29 · CTO agreement, Exhibit 10.3. Nine vesting dates and service/termination terms.
- **BRUN-12** · 2026-09-29 · Cash retention agreement, Exhibit 10.4. §§3-4 payment/service; §§5-6 repayment/termination.

The saved original SEC HTML and complete award contracts supplied in the October 6 earnings packet were read directly. Independent web retrieval of this new 8-K was unavailable during review; the existing Q2 10-Q was retrieved and its historical compensation overlap verified. The award-cost schedule is an owner-approved economic modeling convention, not source-reported GAAP expense. New filing dates and contractual event dates are separately preserved.

The unchanged original source document is retained separately for full research provenance. It is an archive, not an additional active valuation case. Superseded score/price target tables are not incorporated into this active artifact.

Model snapshot: October 6 operating model, evidence reviewed October 7, 2026; Framework 8.0. Eighteen operating quarters and fifteen complete price target endpoints from Q3 2026 through Q1 2030. Active Q4 2027 = USD 54.772847092 per share. Q1 2028 = USD 62.026978447. Portfolio Base 68/100; analytical score 42/60=70/100. Revenues, product gross margins, ordinary staffing assumptions and 15× OP method are retained. Financing, compensation accounting and share settlement limits remain explicit.

October 7 evidence sources

- **BRUN-13** · Agreement September 30, published October 6, 2026 · Cohere service agreement, Exhibit 10.1. Sections 4, 10 and acceptance/termination terms; saved original reviewed. Redactions limit economics.
- **BRUN-14** · October 6, 2026 · Contract Form 8-K. TCV, timing and unused-prepayment guarantee summary.
- **BRUN-15** · October 6, 2026 · Issuer Cohere announcement. Approximately five-year $525.6M agreement, early Q2 2027 outlook and aggregate TCV exceeding $2.6B. Source packet DOT-EARNINGS-20261006T1124 revision 1.